

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

FORMUKLEEN, INC., *Complainant*

v.

TOP SHIPPING SYSTEMS, CORP., *Respondent*.

DOCKET NO. 25-08

Served: May 21, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

**ORDER REGARDING COMPLAINANT’S MOTIONS OF MAY 9, 2026, AND ADDRESSING DEFERRED
RULING REGARDING COMPLAINANT’S MOTION FOR REASONABLE DISCOVERY**

On May 9, 2026, Complainant filed Complainant’s Motion to Enforce April 1, 2026 Order as to Request for Production Nos. 4 and 7 and for Sanctions (“MTE”). Complainant also filed Complainant’s Request to File Confidential Exhibit A to Complainant’s Motion to Enforce Under Seal Without Redaction (“Motion to Seal”).

As background, on April 1, 2026, I issued an Order Granting in Part and Denying in Part Respondent’s Motion to Dismiss, Granting in Part and Denying in Part Complainant’s Motion to Compel, and Requiring Respondent to Provide a Declaration (the “April 1 Order”). In the April 1 Order, I required Respondent to produce documents responsive to Complainant’s Requests for Production (“RFP”) Nos. 4 and 7. I also deferred ruling on Complainant’s request for an order compelling production in response to RFP Nos. 2, 3, 10, and 13.

In the MTE, Complainant argues that Respondent’s productions in response to RFP Nos. 4 and 7 are facially deficient. Further, Complainant argues that Respondent’s productions appear to have improper redactions.

In the Motion to Seal, Complainant seeks to file Exhibit A to the MTE under seal.

On May 18, 2026, Respondent filed Respondent’s Response to Motion to Enforce and Request for Extension of Time (“MTE Opp.”). In the MTE Opp., Respondent argues that it should have additional time to find new counsel. Respondent also argues that the MTE contains mischaracterizations.

On May 20, 2026, Respondent filed Respondent’s Notice of Continued Production and Supplemental Compliance with April 1 Order (“Notice of Continued Production”). In short, Respondent represents that it re-read the April 1 Order, and in light of its re-reading of the April 1 Order, will make additional productions.

Also on May 20, 2026, Complainant filed Complainant's Response to Respondent's Notice of Continued Production and Supplemental Compliance ("Notice of Continued Production Opp."). In short, Complainant argues that the Notice of Continued Production does not resolve Complainant's concerns.

On May 21, 2026, Respondent filed Respondent's Reply to Complainant's Response to Notice of Continued Production ("Notice of Continued Production Reply") reiterating its intention to produce documents.

The Motion to Seal is **DENIED** because it is procedurally deficient. Exhibit A to the MTE will not be considered in ruling on the MTE.

The MTE is **DENIED WITHOUT PREJUDICE** because it is unclear that Complainant properly attempted to resolve the issues raised in the MTE prior to filing the motion.

For the reasons discussed below, Complainant's Combined Motion to Exceed Page Limits and to Compel Reasonable Discover ("MTC") is **DENIED WITHOUT PREJUDICE** to the extent it seeks an order compelling productions in response to RFP Nos. 2, 3, 10, and 13.

I. MOTION TO SEAL

In the Motion to Seal, Complainant seeks to file Exhibit A to the MTE under seal. Exhibit A consists of emails and payment information; almost every page in Exhibit A has redactions. Complainant represents that Respondent produced these documents to Complainant with the redactions, and that Complainant wants me to be able review the redactions. (*See generally* Motion to Seal). It is unclear from Complainant's Motion to Seal, however, whether Complainant contends that any of the non-redacted information on Exhibit A is confidential. Complainant indicates that it filed the Motion to Seal pursuant to the Protective Order and Commission Rule 13 (46 C.F.R. § 502.13).

The Initial Order provides that if a document containing confidential information is filed, a "motion justifying confidential treatment" that shows "good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information" is required. (Initial Order, at 7 ¶ 32 (citing 46 C.F.R. § 502.141(j)(1))). The burden is on the party seeking to protect the information to show good cause for its protection. (Initial Order, at 7 ¶ 32). The Initial Order also indicates that parties "must file two versions of any filing that includes confidential material, one marked 'confidential version' and the other marked as the 'public version.'" (Initial Order, at 7 ¶ 34). Commission Rule 5 states that: "Confidential information in exhibits should be marked as specified above. If marking within the text is not feasible, individual pages may be replaced in the public version with a page indicating that confidential material is excluded. Entire exhibits should not be excluded, only those pages containing confidential material." (46 C.F.R. § 502.5(a)(2)(iii)).

The Motion to Seal is procedurally defective because it does not comply with Commission Rule 5 or the Initial Order. Complainant only filed one version of the proposed sealed filing, as opposed to the two required versions. Indeed, the Protective Order, which Complainant cites as authority for filing the Motion to Seal, cross-references Commission Rule 5, which, in turn, specifically requires two versions of the document to be filed. (*See* Order

Granting Joint Motion for Protective Order, and Granting in Part Motion to Extend Discovery and Case Deadlines (“November 21 Order”), at 1; Complainant and Respondent’s Joint Motion for Protective Order, at 8; *see also* 46 C.F.R. § 502.5(b)).

The Motion to Seal also does not contain any argument justifying confidential treatment of the documents included in Exhibit A. For example, RX01093 appears to be a page from a longer email chain. The page itself contains a redaction, which Complainant says was placed by Respondent. The remainder of the page appears to consist of a signature block and footer from a business email, as well as the start of another email, none of which requires confidential treatment.

In light of these deficiencies, the Motion to Seal is **DENIED** because it is procedurally deficient. Exhibit A to the MTE will not be considered in ruling on the MTE.

II. MTE

A. Background

The Commission served Complainant’s Complaint on June 17, 2025. (*See* Notice of Filing of Complaint and Assignment). In its Complaint, Complainant alleges that it had goods imported in two separate containers. (Complaint, ¶¶ 4.1-4.2). Complainant allegedly instructed Respondent, who is registered with the FMC as a non-vessel-operating common carrier (“NVOCC”), and who “coordinated transportation and logistics services” for Complainant, to have the containers delivered to Complainant’s warehouse. (Complaint, ¶ 4). Respondent, however, allegedly held onto the containers and their contents because of past-due payments from Complainant. (Complaint, ¶¶ 2, 4.1-4.2). The Complaint alleges that Respondent violated 46 U.S.C. §§ 41102(c), 41102(d)(B), 41104(a)(4)(E), and 41104(a)(10), as well as 46 C.F.R. § 515.32. (*See generally* Complaint).

On July 16, 2025,¹ Complainant filed Complainant’s Motion for Summary Judgment (“MSJ”). I denied the MSJ because I found that discovery was needed to resolve several questions of fact as to whether Respondent was acting as an NVOCC. (*See* Order Denying Motion for Summary Judgment, at 7-8 (“MSJ Order”)). In particular, I wrote:

In addition, there are other facts that are unknown, which could clarify whether Respondent acted as an NVOCC for purposes of this matter. For example, there is no indication that Respondent here purchased transportation services, such as cargo space, from a common carrier and offered it for resale, or paid port-to-port charges, or entered into any agreement with the underlying shipper, who was apparently HGA. (*See* 46 C.F.R. § 515.2(k)(1), (2), and (3)). Likewise, while Respondent is a registered NVOCC, there is no information in the record regarding how Respondent holds itself out as an NVOCC, *e.g.*, there is no information about advertising it does, nor is there any tariff information. (46 U.S.C § 40102(7)(A) (stating that a “common carrier” is a person that “holds

¹ Complainant filed a procedurally defective version of the MSJ; the date in the main text refers to the date Complainant filed a procedurally proper motion.

itself out to the general public to provide transportation by water” of “cargo. . . .”)).

(MSJ Order, at 7). Because discovery was still pending, I stated that the MSJ was denied without prejudice. (MSJ Order, at 8). On July 23, 2025, I issued a Scheduling Order that contained deadlines for completion of discovery.

On March 9, 2026, Complainant filed its MTC. After the MTC was fully briefed, I granted it in part and denied it in part in the April 1 Order. Of relevance to the present order, I granted the MTC in relation to RFPs 4 and 7. Those RFPs provide:

4. All TSS communications with parties other than FormuKleen relating to all FormuKleen shipments managed by TSS, including the subject shipments.
7. All records of duties, drayage, warehousing, storage, port-related, or other charges paid or advanced by TSS on behalf of FormuKleen for any shipment in addition to the subject shipments.

(April 1 Order, at 10). Although Respondent objected to these two RFPs as being overly broad, I concluded, based on Commission guidance, that documents that show how Complainant and Respondent interacted in the past, and how Respondent interacted with third-parties, can be relevant. (April 1 Order, at 11).

In the April 1 Order, I also deferred ruling on RFPs 2, 3, 10, and 13. Those RFPs ask for the following documents:

2. All internal communications concerning FormuKleen’s account, including decisions to revoke credit terms or reroute shipments.
3. All internal communications concerning FormuKleen shipments.
10. All internal or external guidance or policies on when and how to withhold cargo for unpaid debts.
13. All organizational charts or job descriptions showing who was responsible for transportation coordination, customer communication, and financial decisionmaking during the time of the events at issue.

(April 1 Order, at 9). Respondent claimed that there were no such documents other than what it produced, though Complainant contested that claim. (April 1 Order, at 10). I deferred ruling on whether production of these documents should be compelled, and instead ordered that Respondent needed to produce a declaration describing where it stores documents, and what searches for documents it performed. (April 1 Order, at 10, 13). In particular, I ordered that:

Respondent is to file a sworn declaration no later than **April 15, 2026**, from one (or more) witness(es) with first-hand knowledge describing: a) all electronic and physical document storage locations in which Respondent maintains or keeps business records, including, for example, databases, email systems, computers,

clouds, filing cabinets, storage garages, employees' houses, and/or warehouses; b) describe all document storage and retention systems; as part of this response, provide copies of any written description of any document retention systems that exist; c) describe how Respondent searched for responsive documents, including identifying all individuals who participated in any searches, specifically describing any electronic or physical searches performed (including a description of electronic search terms used), and identifying all electronic and physical document storage locations searched; and d) confirm that there are no additional document locations to be searched, or searches to be performed[.]

(April 1 Order, at 14).

On March 13, 2026, Respondent filed a Motion to Dismiss for Lack of Jurisdiction ("MTD"). In short, Respondent argued that the Commission lacked jurisdiction in this case because Respondent was not acting as an NVOCC in relation to the shipments at issue. After the MTD was fully briefed, I granted it in part and denied it in part in the April 1 Order. I ordered that Count 4 of the Complaint, which alleged a violation of 46 C.F.R. § 515.32, was dismissed due to a lack of jurisdiction – section 515.32 governs a freight forwarder's duties, and the Complaint alleged no facts showing how Respondent could have acted as a freight forwarder. (April 1 Order, at 7-9). I also ordered, however, that the rest of the MTD was denied. I found that the Complaint plausibly alleged that Respondent acted as an NVOCC in relation to the shipments at issue. (April 1 Order, at 4-7).

On April 29, 2026, Respondent submitted a declaration in response to the April 1 Order. In short, Respondent indicated it maintains an Outlook database, a database on the Magaya Freight Management Platform, as well as an account with ACE Secure Data Portal. Respondent declared that it searched each platform by bill of lading number, by shipment number, by container number, by the term "Formukleen," and by various email addresses, including two email addresses belonging to third parties. (*See Declaration of Ricky Villena ('Villena Decl.')*).

Complainant filed the MTE on May 9, 2026. In the MTE, Complainant argues that Respondent's production in response to RFP Nos. 4 and 7 are facially incomplete because they did not include communications with third parties known to have been involved with Complainant's containers. (MTE, at 2). Similarly, Complainant points out that the Villena Declaration shows that only two email addresses belonging to third parties were searched, even though there were several known third-parties involved with the shipment of Complainant's containers. (MTE, at 2-3; *see also Villena Decl.*, at 3-4). Complainant asserts that other communication should exist, as transportation of containers usually involves numerous documents. (MTE, at 4). Aside from the problem with apparently-missing documents, Complainant argues that some documents have inappropriate redactions. (MTE, at 4-5). Complainant asserts that Respondent represents that the names of third parties and other shipments were redacted, whereas Complainant asserts that the text shows otherwise. (MTE, at 4-5). Complainant requests that the redacted material should either be submitted for in camera review, or produced subject to the Protective Order. (MTE, at 5). Complainant asserts that between April 30, 2026, and May 8, 2026, Complainant's representative emailed Respondent's counsel, and pointed out that communications appeared to be missing, but that Respondent's counsel simply represented that the document production is complete. (MTE, at 6-7).

In the MTE Opp., Respondent asks for more time to retain counsel and supplement its response to the MTE.² Respondent argues that many of the allegedly missing third-party communications that it produced included Complainant on the communication, and that Respondent performed reasonable searches. As for redactions, Respondent asserts that the redacted information related to other clients. (*See generally* MTE Opp.).

In the Notice of Continued Production, Respondent states that “[u]pon further review of the April 1 2026 Order, and in an abundance of caution, TSS is supplementing its production to encompass communications and records relating to all” of Complainant’s shipments managed by Respondent. (Notice of Continued Production, at 1). Respondent states that it now understands that it is required to produce documents related to all shipments it managed for Complainant, and will supplement its production.

In the Notice of Continued Production Opp., Complainant argues that the missing documents that Respondent proposes to produce would not solve many of the issues Complainant raised, such as third-party communications related to the two containers at issue, or the redactions. Instead of curing the core problems, Complainant argues, it merely continues them.

Respondent reiterated its intention to produce documents in its Notice of Continued Production Reply.

B. Discussion

The pertinent Commission Rule provides that:

If a party or a party’s officer or authorized representative fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just. A motion must include a certification that the moving party has conferred in good faith or attempted to confer with the disobedient party in an effort to obtain compliance without the necessity of a motion. An order of the presiding officer may:

- (1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;
- (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or

² To the extent an order is necessary regarding Respondent’s request for additional time to supplement its response to the MTE, it is **DENIED** as moot, as the MTE is denied without prejudice.

- (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

(46 C.F.R. § 502.150(b)).

The MTE is **DENIED** because I am not persuaded that Complainant engaged in a sufficient effort to resolve this matter without motion.

I appreciate Complainant's point that the Villena Declaration indicates that searches were conducted regarding only two third-party email addresses, whereas there were several third-parties involved. (MTE, at 2-3). It is unclear from Complainant's certification if Complainant addressed that point to Respondent before raising it in the present motion, however. Complainant's certification generally asserts that it brought concerns to Respondent regarding an allegedly insufficient production. (MTE, at 6-7). The certification does not indicate if the question regarding third-party email addresses – which is a good question – was specifically communicated to Respondent. If it were, perhaps this matter could have been resolved without motion practice. Indeed, while I appreciate Complainant's point that Respondent's Notice of Continued Production is late in the game, it is also unclear if the parties ever engaged in a constructive dialogue about what an adequate search should look like.

Regarding both RFP Nos. 4 and 7, Complainant argues that a number of documents, including payment records, contain redactions. Although I do not consider Exhibit A, I accept Complainant's representation that some documents were produced with redactions. Nevertheless, it is once again unclear that Complainant properly attempted to resolve this issue without my involvement. Complainant's certification states that "Complainant asked Respondent to supplement RFP No. 4 or identify the specific Bates ranges where the missing communications appeared[.]" and that "the correspondence concerned Respondent's discovery obligations and deficiencies in Respondent's compelled RFP No. 4 production[.]" (MTE, at 6-7). The Complainant's certification does not make any mention of the redaction issue. Instead, a better course of action would have been to raise the issue with Respondent, and discuss whether the documents could have been produced as "confidential" or "attorneys' eyes only" pursuant to the Protective Order.

C. RFP Nos. 2, 3, 10 and 13

In the April 1 Order, I deferred ruling on Complainant's motion to compel regarding RFP Nos. 2, 3, 10 and 13 until after I received the Respondent's declaration. (April 1 Order, at 9-10, 14). As noted above, RFP Nos. 2 and 3 ask for documents regarding internal communications regarding Complainant's shipments and Complainant's account, including the decision to revoke credit terms, and RFP Nos. 10 and 13 asks for organization charts as well as internal policies. (See April 1 Order, at 9). Complainant argues that more documents should exist, whereas Respondent asserted that no such documents exist beyond what was produced already. (April 1 Order, at 10).

In light of the ongoing communication problems between the parties, the MTC is **DENIED** in relation to RFP Nos. 2, 3, 10, and 13. Respondent does not argue that these requests

seek irrelevant documents, nor does Respondent argue that the requests are overly burdensome. Instead, the parties disagree regarding whether more documents should have been produced. As discussed further below, the parties are instructed to discuss which searches may be appropriate in order to satisfy Complainant that Respondent has made an adequate effort to locate responsive documents.

D. Admonishments and Instructions

I admonish both parties to work towards resolving the remaining discovery issues efficiently. The record shows that neither party has been cooperative, communicative, or accommodating since this case began, which is something I noted previously. (*See*, e.g., November 21 Order, at 2). For example, as discussed above, Complainant apparently has not communicated all of its discovery concerns to Respondent before filing the present motion. Conversely, in the Notice of Continued Production, Respondent all but admits that its document searches to date have been deficient. It appears that the remaining discovery issues may be resolved if both parties engage in good faith dialogue.

Accordingly, the parties are to engage in a constructive, good faith dialogue regarding appropriate searches to be performed. Similarly, the parties are to discuss how documents should be produced, and if they are to be produced pursuant to the terms of the Protective Order. This discussion may include whether the current schedule, which is set forth in the March 20, 2026, Order Following Status Conference, should be extended.

Complainant has repeatedly resisted extensions. I appreciate that Complainant wants to bring this matter, which has been pending for approximately eleven months, to a close. But, as I have noted previously, Complainant is responsible for at least some of the delay. (*See* November 21 Order, at 2 (“The parties’ failure to cooperate – which they have done repeatedly since this case began – has now had real consequences in delaying the proceeding.”)). Further, other than pointing to the delays (which Complainant partially caused), Complainant has yet to show how its case has been materially impacted by extending deadlines by a reasonable period of time.

Having said as much, I appreciate Complainant’s frustrations, and I recognize that not all of the delays are Complainant’s fault. As noted, Respondent now essentially states that it did not previously understand its discovery obligations, and acknowledges that its discovery responses have been deficient – thus, I can appreciate why Complainant may have thought that attempting to resolve discovery disputes without my intervention was pointless. Further, Respondent has changed its representative twice since April 10, 2026, at critical times in the discovery process. Accordingly, I am concerned that Respondent may be engaging in gamesmanship with respect to its representative.

For now, the schedule established in the March 20, 2026, Order Following Status Conference is still in effect. The parties may move to amend it appropriately. Further, the parties are instructed to complete their discovery obligations efficiently. If either party believes that further intervention is necessary, it may file a motion. I will not consider the motion, however, unless the moving party demonstrates that it made every reasonable effort to resolve the dispute. (46 C.F.R. §§ 502.141(h)(2)), 502.150(a)(2)(i); 502.150(b)).

III. CONCLUSION

It is **HEREBY ORDRED** that the Motion to Seal is **DENIED** because it is procedurally deficient, and Exhibit A to the MTE is not considered in ruling on the MTE. It is

FURTHER ORDERED that the MTE is **DENIED WITHOUT PREJUDICE** because it is unclear that Complainant properly attempted to resolve the issues raised in the MTE prior to filing the motion. It is

FURTHER ORDERED that Complainant's MTC is **DENIED WITHOUT PREJUDICE** to the extent it seeks an order compelling productions in response to RFP Nos. 2, 3, 10, and 13. It is

FURTHER ORDERED that the schedule set forth in the March 20, 2026, Order Following Status Conference remains in effect.

Richard C. Ambrow Jr -S

Richard Ambrow
Administrative Law Judge